CITY UNION BANK

Q4FY21 Result Update | BFSI

DALAL & BROACHA STOCK BROKING PVT. LTD.

Equity Research Desk

STRESS POOL WITHIN GUIDANCE RANGE

May 29, 2021

City Union Bank's Q4FY21 performance was below our estimates mainly on account of higher interest reversal and elevated provisions.

- **NII came in at INR 4.29 Bn,** 2% YoY/-12% QoQ.
- **Net Income came in at INR 5.74 Bn,** -4% YoY/-20% QoQ.
- **PPOP came in at INR 2.85 Bn,** -15% YoY/-38% QoQ.
- **Provisions came in at INR 2.39 Bn,** -47% YoY/9% QoQ.
- **PAT came in at INR 1.11 Bn** (vs loss of Rs 0.95 Bn YoY)/ -35% QoQ.
- **EPS stood at INR 1.51** vs INR -1.29 YoY / INR 2.30 QoQ.

Financial Highlights

- Bank's credit growth moderated to 7.1% YoY/1.4% QoQ. The incremental credit growth came from Gold Loan & ECLGS, which attract lower risk weights, resulted in improvement of CRAR (19.52% in FY21 vs 16.76% in FY20). According to management, the bank will not require to raise any capital in the current fiscal (FY22). The bank is targeting loan growth of mid-to-high single-digit for FY2022
- On liabilities, Bank's deposit grew by 9%YoY/3% QoQ led by CASA growth of 27% YoY/9% QoQ taking CASA ratio at 29.1% (Vs 27.5% QoQ/ 25.0% YoY). Bank's CD ratio stood at 81.2% vs 83.1% YoY.
- During the quarter, Bank's net interest margin stood at 3.72% (vs 4.16% QoQ/3.91% YoY), adversely impacted by interest reversal. Excluding the same, NIM for Q4 FY21 would have been at normal level of 4% plus. Yield on Advances was also impacted by interest reversal, and stood at 9.19% in Q4FY21 (vs 9.87% QoQ/10.46% YoY).
- Bank's cost of deposits continue to come-off driven by the uptick in CASA ratio and reduction in term interest rate. CoD stood at 5.05% (vs 5.16% QoQ/6.07% YoY). We believe that the further decline in COD would be limited.
- Bank's asset quality remains elevated with GNPA stood at 5.11% in Q4FY21. However, slippage for Q4FY21 stood at 11.10 Bn, which was lower than proforma slippages of Rs.11.34 Bn in Q3FY 21. NNPA also came down to 2.97% as against 3.37% on a proforma basis in Q3FY21. With better recovery efforts, we believe that asset quality will start moderating meaningfully from the second half of FY22. During FY21, Bank has restructured 1289 accounts, amounting to Rs 18.49 Bn (5% of advances)

Financial Summary

Y/E Mar (Rs Bn)	FY20	FY21E	FY22E	FY23E
NII	16.8	18.3	20.6	23.9
Adjusted net profit	4.8	5.9	7.0	9.7
Networth	53	58	65	74
EPS (Rs)	6	8	10	13
Growth (%)	-30	24	19	38
P/E (x)	27	22	18	13
P/Adj BV (x)	2.8	2.7	2.4	2.0
RoA (%)	1.0	1.2	1.3	1.6
RoE (%)	9.4	10.6	11.4	14.0

Source: Dalal & Broacha Research, Company

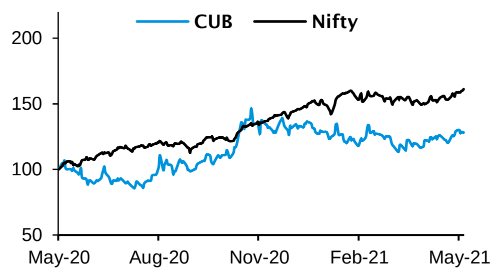
Rating	TP (Rs)	Up/Dn (%)
ACCUMULATE	198	14

Market data

Current price	**Rs**	**174**
Market Cap (Rs.Bn)	(Rs Bn)	128
Market Cap (US$ Mn)	(US$ Mn)	1773
Face Value	Rs	1
52 Weeks High/Low	Rs	200/116
Average Daily Volume	('000)	2245
BSE Code		532210
Bloomberg		CUBK:IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Mar-21	Dec-20
Promoters	0.00	0.00
FII	18.02	18.65
DII	39.09	37.58
Others	42.89	43.77
Total	**100**	**100**

Source: BSE

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Highlights of the Conference Call

Asset quality

- SMA 2 came down to 1.99% from 5-6% earlier quarters
- Given better recovery in Q4FY21, bank's slippages restricted at Rs 11.10 Bn, which is lower than proforma slippages of Rs.11.34 Bn in Q3FY21
- Even though spread of second wave of Covid19 is higher than first wave, its impact on credit growth and asset quality will be lower than first wave.
- Overall standard asset provisions stood at Rs2.51bn, which includes the restructured provision of Rs.1.22 Bn.

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Future guidance

- Credit growth guidance remains in mid-to-high single digit.
- Slippages will be lower than FY21 (3% of closing advances)
- Most of slippages will be front loaded in first two quarters, while meaningful recover will start in second half of FY22, when most of the registrar offices will be opened.
- Targeting RoA of 1.5% in second half of FY22

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FY21 result in line with guidance

- Credit growth at 7% vs guidance of mid-to-high single digit
- Slippages at 3% of closing advances vs guidance of 3-3.5% of closing advances
- Restructuring at 5% of advances vs guidance of 5%-6% of advances
- Cost-to-income ratio at 41.5% vs guidance of 42%-44%.

Slippages at 3% of closing advances vs guidance of 3-3.5% of closing advances

Valuation and outlook

Given the second wave of the Covid-19 pandemic, CUB's asset quality will remain under pressure in the first half of FY22. However, given its proven track record in credit underwriting and unsecured loans of ~ 1%, we believe that overall credit loss will be relatively lower. CUB has all the right ingredients, which include conservative management, unparalleled lending franchise, stable margins, and a well-capitalized balance sheet to support future growth. We expect the bank's RoA/RoE to be around 1.3%/11.4% in FY22 and recover back to 1.6%/14% in FY23. At CMP the stock trades at 2.4x its FY22E ABV and 2.0x its FY23E ABV. We assign Accumulate rating with a Target Price of Rs 198/share, valuing the stock at a target multiple of 2.3x FY22E ABV.

Quarterly Financials

Financials (Rs Bn)	Q4FY20	Q1FY21	Q2FY21	Q3FY21	Q4FY21	YoY	QoQ
Interest Earned	10.4	10.5	10.6	10.5	9.8	-6%	-7%
Interest Expended	6.2	6.1	5.9	5.6	5.5	-12%	-2%
NII	**4.2**	**4.4**	**4.8**	**4.9**	**4.3**	**2%**	**-12%**
Other Income	1.8	1.6	1.7	2.3	1.5	-19%	-37%
Net Income	**6.0**	**6.0**	**6.4**	**7.2**	**5.7**	**-4%**	**-20%**
Opex	2.6	2.4	2.6	2.6	2.9	10%	11%
PPOP	**3.4**	**3.6**	**3.8**	**4.6**	**2.8**	**-15%**	**-38%**
Provisions	4.5	1.6	1.8	2.2	2.4	-47%	9%
PBT	**-1.2**	**2.0**	**2.1**	**2.4**	**0.5**	**NA**	**-81%**
Tax	-0.2	0.5	0.5	0.7	-0.7	NA	-193%
PAT	**-1.0**	**1.5**	**1.6**	**1.70**	**1.11**	**NA**	**-35%**
Balance Sheet							
Deposits	4083	4103	4142	4329	4454	9.1%	2.9%
Advances	3458	3454	3544	3650	3702	7.1%	1.4%
Growth (%)							
Deposits	6.2	5.0	2.4	8.7	9.1	287 bps	34 bps
Advances	4.6	7.2	6.5	7.9	7.1	250 bps	-84 bps
Ratios (%)							
GNPA	4.1	3.9	3.4	2.9	5.1	102 bps	218 bps
NNPA	2.3	2.1	1.8	1.5	29.7	2745 bps	2827 bps
PCR	44.9	46.8	48.3	50.8	43.2	-171 bps	-760 bps
Tier 1	15.8	15.7	16.3	16.3	18.5	265 bps	214 bps
CAR	16.8	16.8	17.4	17.4	19.5	276 bps	213 bps
Cost/Income	44.0	40.4	40.3	36.2	50.4	633 bps	1414 bps
CD Ratio	84.7	84.2	85.6	84.3	83.1	-155 bps	-120 bps
Loan Book Sectoral Deployment (%)							
Agriculture	15.8	15.7	11.3	11.3	13.0	-279 bps	174 bps
MSME	31.1	31.9	34.7	34.9	39.6	847 bps	469 bps
Large Industries	6.2	6.3	5.8	5.1	1.8	-435 bps	-330 bps
Retail Traders	2.7	2.3	1.8	1.5	1.6	-115 bps	3 bps
Wholesale Traders	13.9	13.0	13.0	12.6	12.6	-132 bps	-2 bps
Commercial Real Estate	8.0	8.2	7.7	7.2	6.9	-116 bps	-38 bps
JL NonAgriculture	2.1	2.4	6.2	8.2	9.3	728 bps	119 bps
Housing Loans	6.6	6.6	6.3	6.0	5.7	-93 bps	-28 bps
Other Personal Loans	2.9	2.9	2.7	2.4	2.2	-77 bps	-24 bps
Loans backed by Deposits	1.7	1.5	1.4	1.3	1.4	-25 bps	10 bps
Infrastructure	1.1	1.1	1.0	0.9	0.8	-23 bps	-6 bps
NBFC	0.8	0.7	0.9	0.8	0.7	-15 bps	-10 bps
Others (EL, Staff Loan, etc)	7.1	7.4	7.2	7.8	4.4	-264 bps	-337 bps

Source: Dalal & Broacha Research, Company

Financials

P&L (Rs Bn)	FY20	FY21	FY22	FY23
Interest income	41.7	41.3	45.1	52.6
Interest expense	24.9	23.1	24.5	28.7
NII	**16.8**	**18.3**	**20.6**	**23.9**
Non-interest income	6.8	7.0	7.7	8.8
Net revenues	**23.6**	**25.3**	**28.3**	**32.7**
Operating expenses	10.1	10.5	11.5	13.1
PPOP	**13.4**	**14.8**	**16.8**	**19.6**
Provisions	7.6	7.9	7.4	6.7
PBT	**5.9**	**6.9**	**9.4**	**13.0**
Tax	1.1	1.0	2.4	3.3
PAT	**4.8**	**5.9**	**7.0**	**9.7**

Balance sheet	FY20	FY21	FY22	FY23
Share capital	0.7	0.7	0.7	0.7
Reserves & surplus	52	58	64	73
Net worth	**53**	**58**	**65**	**74**
Deposits	408	445	488	555
Borrowings	20	13	12	13
Other liability	16	16	17	18
Total liabilities	**497**	**533**	**583**	**660**
Fixed assets	2	2	2	3
Investments	91	94	108	121
Loans	339	362	394	462
Cash	47	56	59	55
Other assets	17	19	19	21
Total assets	**497**	**533**	**583**	**660**

Ratios	FY20	FY21	FY22	FY23
Growth (%)				
NII	4	9	13	16
PPOP	8	11	13	17
PAT	-30	24	19	38
Advances	4	7	9	17
Deposits	6	9	10	14
Spread (%)				
Yield on Funds	9.2	8.4	8.4	8.8
Cost of Funds	6.1	5.2	5.1	5.4
Spread	3.1	3.2	3.3	3.4
NIM	3.7	3.7	3.8	4.0
Asset quality (%)				
Gross NPAs	4.1	5.1	4.8	3.7
Net NPAs	2.3	3.0	2.9	2.2
Provisions	45	43	40	40
Return ratios (%)				
RoE	9.4	10.6	11.4	14.0
RoA	1.0	1.2	1.3	1.6
Per share (Rs)				
EPS	6	8	10	13
BV	72	79	88	100
ABV	61	65	72	86
Valuation (x)				
P/E	26.8	21.7	18.3	13.2
P/BV	2.4	2.2	2.0	1.7
P/ABV	2.8	2.7	2.4	2.0

Source: Dalal & Broacha Research, Company

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